Data centre capacity is measured in megawatts and gigawatts, as power consumption is one of the key indicators of operational costs. By some estimates, India's capacity is projected to grow five-fold to reach nearly 8GW by 2030. Such an increase would require a capex of $30 billion (Rs 2.64 lakh crore) and could generate revenue potential of $8 billion (Rs 70,000 crore) from data centre leasing by the end of the decade, according to a recent report by investment firm Jefferies.

SHIFTING GEOGRAPHY

Currently, nearly two-thirds of India's data centre capacity is located in Mumbai and Chennai. India hosts 17 international subsea cables across 14 landing stations located in Mumbai, Chennai, Kochi, Thoothukudi and Thiruvananthapuram, while the list of telecom operators owning submarine cable infrastructure includes Tata Communications, Global Cloud eXchange, Reliance Jio, Bharti Airtel, Sify Technologies and BSNL.

Google says its proposed AI hub in Visakhapatnam will be developed with partners, including Airtel and AdaniConnex, which is a 50:50 JV between Adani Enterprises and data centre operator EdgeConneX. "India is experiencing a digital transformation that is unparalleled in pace and scale," Google Cloud CEO Thomas Kurian said on October 14 when the company unveiled its plans. "This AI hub is a multi-faceted investment combining powerful gigawatt-scale data centre operations, new large-scale energy sources and an expanded fibreoptic network, and has the potential to accelerate AI-driven transformation across every sector." Bringing multiple international subsea cables to land in Visakhapatnam will create an essential connectivity hub to complement existing landings in Mumbai and Chennai, he added.

GLOBAL BETS

"Despite India having over 970 million internet users as of 2024, nearly three times that of the USA, its data centre capacity remains significantly lower compared to mature and established markets like the USA, UK, Canada and Germany," noted a May 2025 report by real estate brokerage Colliers, adding that the demand-supply mismatch has drawn major global players and investors across the value chain.

The sectors driving demand include hyperscalers or cloud services providers that handle large volumes of data, financial services, technology, retail and healthcare. Apart from booming demand for data storage, other factors that make the industry attractive to investors include cost arbitrage in land, labour and construction costs. Over the past decade, commitments of over $6.5 billion (Rs 57,000 crore) have been made in the sector, according to Mumbai-based property consultancy ANAROCK.

GREEN POWER PUSH

Data centres are also power-hungry. According to S&P Global Commodity Insights, they constituted 0.8 per cent of India's total electricity demand at the end of 2024, and this is expected to triple to about 2.6 per cent in 2030. India, it says, is expected to become the second-largest market for data centre electricity demand in the Asia-Pacific region over the next two years.

Power availability in India is comparatively better than in many European countries or hubs like Singapore, says an industry expert. But a key priority would be the shift towards renewable energy and balancing the huge water demand from data centres for cooling. As India's budding data centre sector looks set for steady growth, clean energy technologies and accompanying regulatory policies will play a key role. ■

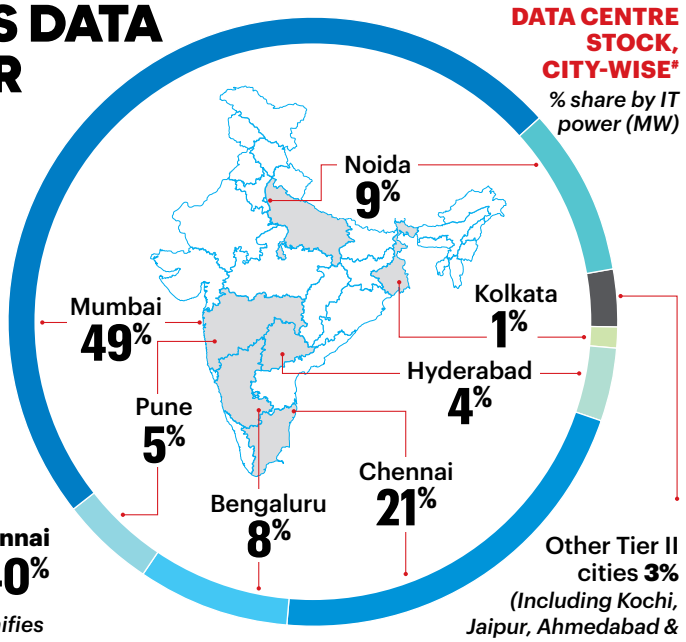
INDIA'S DATA POWER

Mumbai* and Chennai continue to be hotspots for data centre (DC) operators, together accounting for 70% of India's total DC stock

GROWTH IN SUPPLY
(2022-24)

Mumbai 92% | **Chennai 340%**

This growth signifies major cash deployment from operators to build capacities at these locations in the past three years



*# Excludes capacities from hyperscalers' own and operated facilities; *Mumbai Metropolitan Region*

Courtesy: ANAROCK Capital Research & Industry Sources

WHY INDIA NEEDS DATA CENTRES

- **Rising digital use and online services demand local data storage**
- **Data localisation laws require sensitive data to stay in India**
- **Cloud, AI and fintech growth need secure computing power**
- **Local storage means faster, safer access**
- **Boosts employment, investment and digital sovereignty**

Graphic by **TANMOY CHAKRABORTY**